

The Software Dilemma



Maulik Jasubhai Publisher

WE SHOULD EXPECT that PC penetration in India should accelerate exponentially now that the Rs 10,000 barrier has been breached. However, there remains a very important hurdle before this happens. Software.

Why do all multinational software companies in India charge extortionate prices? Especially when the duty on software products is zero per cent? Think about it. You can now purchase a new PC at just Rs 10,000, but if you were to add the OS and the office software, you'd end up paying more for the software than for the PC. This discrepancy is inexplicable.

Every company seriously interested in growing their market and genuinely interested in the development of their products and services adapts to local conditions. Case in point is the Rs 20 McAloo Tikki burger or the Rs 1,200 Levi's jeans, which sell in the US for \$1.99 and \$45 respectively in their home market—the USA.

There are many more examples of companies that are selling products at prices that make sense in India; thereby they are expanding their market. Then

why is it that we pay exactly the same OR HIGHER than in the US for our software? The price of anything sold globally should reflect the cost of doing business in that country. Do US companies pay their people in India at US levels? Do their offices and infrastructure cost as much? Then why should their software cost as much or more? What is the variable cost of selling their products in India?

While OEM bundling does have the tendency to reduce the price point significantly, it is still nowhere near what you would call affordable, especially considering the fact that hardware prices seem to be heading southward with a lot more determination than the prices of OS and office productivity software. That is probably the one single reason why PC penetration is still not at levels where it becomes an engine for national productivity. And that is a tragedy.

Sure there is a choice. Microsoft often states that consumers have a choice: you may purchase MS software or you may opt for freeware (Star Office) and an open source OS (Linux).

These freeware and open source OS are free to consumers. After all, a company in a free market economy must have the freedom to price their products as they deem appropriate, especially when they have invested significant resources in developing these products.

The pertinent question then for most of us is: why have freeware and open source operating systems not found mass acceptance? Is it an issue of support? Is it that commercial prices assume a certain level of service that is not predicated with freeware?

This question we will deal with in the next issue.

You pay more for the OS and office software than for the PC itself. This discrepancy is inexplicable